FUND MANDATE: US GROWTH EQUITY FUND (L.P.)

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1. Executive Summary

The **US Growth Equity Fund** ("the Fund") is a closed-end private equity vehicle designed to capture late-stage growth opportunities within the North American technology landscape. The Fund targets "Rule of 40" compliant companies that have transitioned from pure venture-backed entities to institutional-scale market leaders.

Key Attribute	Specification
Fund Name	US Growth Equity Fund
Target Fund Size	$2.0 Billion USD
Asset Class	Private Equity (Growth Capital)
Investment Horizon	5–7 Years per Portfolio Company
Geography	United States (Primary)

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2. Investment Strategy & Sector Scope

The Fund employs a specialized thematic approach, concentrating exclusively on the **Technology** sector with a granular focus on **Software & IT Services**.

- **Primary Focus:** Enterprise SaaS, Cloud Infrastructure, and Cybersecurity.
- **Secondary Focus:** AI-enabled Business Process Outsourcing (BPO) and FinTech.
- **Excluded Segments:** Pre-revenue Biotech, Hardware Manufacturing (unless integrated with proprietary software), and Pure-play Crypto-assets.

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3. Mandatory Quantitative Thresholds

Investment Committees (IC) will only review opportunities that meet or exceed the following financial benchmarks.

Top-Line & Profitability

- **ARR (Annual Recurring Revenue):** Must be **> $40M USD**.
- **EBITDA Margin:** Minimum **12%** required (post-adjustment for non-recurring items).
- **Gross Profit Margin:** Target **> 60%** (specific emphasis on SaaS-based delivery models).
- **Net Income:** Preference for positive GAAP earnings, though not strictly mandatory if the path to profitability is < 12 months.

Capital Efficiency & Valuation

- **Return on Equity (ROE): > 15%** (used as a proxy for management quality).
- **Debt to Equity:** Conservative leverage profile of **< 0.5**.
- **Price to Book (P/B):** Maximum cap of **15x**.
- **P/E Ratio: < 40x** (on a growth-adjusted, forward-looking basis).
- **Market Cap/Enterprise Value:** Minimum **$500M USD** to ensure institutional liquidity.
- **Dividend Yield: 0%** (Not required; all excess cash flow is expected to be reinvested into R&D or M&A).

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4. Risk Management & Governance

To mitigate downside risk, the Fund utilizes a proprietary **Risk Scoring Matrix** across six core pillars:

1. **Competitive Position:** We mandate a "Moat Analysis." The target must hold a Top 3 market share position in its specific niche.
2. **Governance Quality:** Board seat representation or observer rights are mandatory. We bypass companies with dual-class voting structures that disenfranchise minority shareholders.
3. **Customer Concentration:** No single client may represent more than **15%** of total ARR. Total concentration of the top 5 clients must be **< 40%**.
4. **Platform Dependency:** Rigorous auditing of multi-cloud strategies to ensure the target is not overly reliant on a single hyperscaler (AWS/Azure/GCP) without a migration roadmap.

5. **Regulatory/Legal:** High-level scrutiny on **GDPR/CCPA** compliance and potential antitrust headwinds for dominant niche players.
6. **Business Model Complexity:** We avoid "black box" revenue models. Financial reporting must clearly distinguish between professional services (one-time) and subscription (recurring) revenue.

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5. Fund Allocation Limits

- **Single Asset Limit:** No more than **10%** of total fund committed capital ($200M).
- **Sub-sector Limit:** No more than **35%** of the fund in a single sub-vertical (e.g., Cybersecurity).